Stacks

Supporting Stacks on road to Stacks 2.0 Mainnet

Stacks (STX) - Modernizing the Bitcoin Network

When it comes to worldwide recognition there is no crypto project that compares to Bitcoin. It has won the hearts of users by developing the decentralized framework that other projects emulate today. While Bitcoin is considered king – its scalability issues have currently made it able to only be considered as a store of wealth. These issues have allowed other projects like Ethereum to take a considerable amount of market share from Bitcoin. Ethereum and other smart contract blockchains offer better technology with a higher throughput to improve the scalability issues that come with Bitcoin. Stacks aims to be the solution to Bitcoin’s scalability issues, while also maintaining the security that comes with Bitcoin.

Stacks and Team

Founded by Muneeb Ali and Ryan Shea, the development of Stacks began in 2013. The initial goal was to provide a better internet system. As the development of Stacks continued, they received funds from capital investment groups such as Combinator, Digital Currency Group, and the Winklevoss brothers. As development continued so did the team – including leading researchers from MIT, Princeton, and Stanford.

Stacks is a layer one blockchain project that facilitates the use of smart contracts and decentralized applications on the network. Unlike other smart contract platforms, Stacks generates its power from Bitcoin as it depends on it for the execution of transactions. In layman terms, the Bitcoin network acts as the finality and security layer for the smart contracts contained and completed within the Stacks Blockchain. This is possible through the “Proof-of-Transfer” mechanism that Stacks provides, which makes Stacks transactions verifiable on the Bitcoin network as well.

Proof-of-Transfer

Unlike other blockchain projects that utilize the proof-of-work and proof-of-stake mechanism to secure their network, Stacks has developed a new consensus algorithm that is perfectly suitable for its operation and to secure the network. The mechanism is deduced from the Proof-of-Burn concept. Known as Proof-of-Transfer (PoX), it has marked the first consensus mechanism to use two blockchains. This concept ensures that already mined and existing cryptocurrencies of an existing and verified blockchain are not burnt. Instead, they secure the new blockchain.

The Proof-of-Transfer mechanism eliminates the system of burning cryptocurrencies. It requires that mined cryptocurrencies are transferred to other participants within the ecosystem. The new Proof of Transfer consensus mechanism helps the network to facilitate its reward protocol. More interestingly, the system allows the network participants to receive rewards as well as transaction payouts in existing and stable cryptocurrencies. It gives these participants the opportunity to participate in the new blockchain at the same time.

This system allows Stacks to eliminate challenges that users experience with new blockchains. Thus, new users feel confident about joining the network. Since the network is basically integrated with an already existing blockchain (Bitcoin), it uses an already extremely secure blockchain to secure new chains without the need to require new Proof-of-Work chains and cryptocurrencies.

Stacks and Bitcoin are basically two interconnected blockchain networks that work hand in hand. It is quite interesting that both blockchain networks do not depend on each other. They are independent networks connected through the Proof-of-Transfer consensus mechanism. Via this system, miners can transfer new cryptocurrencies as well as smart contracts on Bitcoin to other participants of the Stacks network.

Advantages of Stacks

Stacks is very beneficial to crypto users, especially members of the Stacks community. The Stacks blockchain has offered users the advantage of enjoying combined features of two independent blockchains on every activity. Members of the DeFi space can enjoy the extended features of Bitcoin while executing smart contracts. Stacks also gives members the opportunity to earn Bitcoin. Certain reward programs the network provides are usually offered with Bitcoin. Stackers of the Stacks blockchain can earn their rewards in Bitcoin instead of any other token that would require them to later convert to Bitcoin.

Stacks (STX) has offered amazing functionality to its ecosystem, especially to the Bitcoin network. It proposes new features to the Bitcoin network since Bitcoin is static and not flexible for adjustments. Through its integration with Bitcoin, users can initiate new features to the network without having to change Bitcoin itself. A major challenge for the Bitcoin network is scalability. Thus, Stacks blockchain seeks to solve the scaling issues with Bitcoin. Stacks extends the Bitcoin transaction capacity since Bitcoin has limited space for transactions.

Besides, Stacks adopts Bitcoin’s efficient security and finality to protect transactions conducted within the ecosystem. The network uses Bitcoin to settle transactions on the Bitcoin blockchain for each block generated.

Stacks Ecosystem

There is already a good selection of projects developed on Stacks such as NFT exchanges, DEXs, wallets, social/community Dapps, and much more. The one significant project built on the Stacks blockchain are Citycoins. The news hasn't reported much on Miami's recent success with Miamicoin but a Tweet from Miami's Mayor Francis Suarez should sum up its success:

https://twitter.com/FrancisSuarez/status/1489009285447262211

While Miamicoin has seen its success, NYC coin is already developed and actively being used, and Austin coin is in development as well with a few other major cities in discussion. A whole other article can be written on Citycoin's development and use cases for governments world-wide, but for now the important thing to note is that as these Citycoins are mined – Stacks tokens are burned… more use = more burn.

Technicals / Prediction

- **Current Price**: $1.66
- **Market Cap**: $2.14 billion
- **Fully Diluted Market Cap**: $3 billion

If you missed it I apologize, but I have been calling Stacks a strong buy in my posts over the last two weeks. From a technical standpoint there is strong resistance around $1.84 with the next point being around the range of $2.38. Stacks recently bounced near the resistance zone I had drawn out around $1.08.

While predictions / targets are very difficult in this market, What I believe to see happen is a break of the $1.84 resistance level and then price to range between the $1.84 to $2.38 range until that range is finally broken to the upside. At this point I recommend dollar cost averaging into this project - if you see a dip, buy. Chances are once the ATH resistance is broken we won't see these price levels again.

I fully believe this to be a top 20 project, which would be a 3-4X from the current prices so I'm going to give Stacks a conservative price target of $5.20. Again, take this with a grain of salt - this prediction is if the market remains healthy, but we all know it has been far from that. I still believe it to be a Top 20 project though so as the market changes use that to keep track of what my price target would be.

Conclusion

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Stacks is working its way to being my second largest holding under Polkadot.